EQUITY RESEARCH — INITIATION OF COVERAGE

VERANDA LEARNING SOLUTIONS LTD

NSE: VERANDA | BSE: 543514 | Consumer Discretionary — E-Learning

RATING

ACCUMULATE

12-Month Target

Rs. 290

Upside: +17% from CMP Rs. 247

Horizon: 18-24 months

MARKET DATA	
CMP (03-Jul-26)	Rs. 247
Market Cap	Rs. 2,378 Cr
52W High / Low	Rs. 272 / 129
Face Value	Rs. 10
Stock P/E (TTM)	50.5x
Forward P/E	67.1x (reported)
EV/EBITDA	13.5x
Book Value/sh	Rs. 99.6
ROCE / ROE	12.8% / 7.75%
Dividend Yield	0.00%
Debt / Equity	0.40x
Promoter Holding	33.8% (Pledged 30.4%)

Investment Thesis: Veranda's JK Shah commerce demerger (listing Aug-26) unlocks hidden value — commerce EBITDA >Rs.200 Cr in FY27E embedded in a Rs.2,378 Cr market cap. ACCUMULATE ahead of the catalyst; monitor promoter pledge resolution and earnings quality.

Rs. Cr	FY24A	FY25A	FY26A	FY27E*	FY28E*
Revenue	362	471	482	580	220
EBITDA	55	37	165	130	44
OPM %	15%	8%	34%	22%	20%
PAT	-77	-252	130	30	-12
EPS (Rs.)	-11.66	-33.24	10.97	3.12	-1.25

**FY27E = pre-demerger (JK Shah consolidated ~Q1-Q2 only); FY28E = post-demerger remaining VERANDA (govt test prep + K-12). All estimates are analyst projections, not company guidance. Data sourced from Screener.in, fetched 04-Jul-2026.*

Report Date: 04 July 2026 | Analyst: Research Desk, Chartitude

SECTION 2 — INVESTMENT THESIS

- **JK Shah demerger is an embedded free option:** Commerce segment generated Rs. 331.6 Cr revenue (+70% YoY) and Rs. 176.5 Cr EBITDA in FY26, making it India's largest offline commerce test prep franchise. At a conservative 12x EV/EBITDA, JK Shah's standalone value equals ~Rs. 2,100 Cr — close to VERANDA's entire current market cap of Rs. 2,378 Cr. Shareholders who hold through the listing (expected mid-August 2026) receive JK Shah shares for effectively zero implied cost.
- **Operational turnaround is real, even stripping out one-time gains:** Consolidated EBITDA improved from -Rs. 72 Cr (FY23) to +Rs. 165 Cr (FY26), with OPM expanding from -44% to 34%. Enrolments grew 21% YoY to 2.5 lakh students; collections rose 40% to Rs. 449 Cr — demonstrating genuine demand traction, not just accounting maneuvers.
- **Government test prep provides a durable recurring base:** Banking, Insurance, Railways, and State PSC exams attract millions of aspirants annually. The segment is counter-cyclical and less susceptible to consumer-sentiment shocks. Post-demerger, this business will drive the remaining VERANDA entity with improving unit economics.
- **Near-term catalyst — JK Shah independent listing (Aug 2026):** NCLT first approval received; shareholders approved the scheme April 24, 2026; final NCLT order expected July 2026; listing mid-August 2026. This single event will force a re-rating of VERANDA as investors can then value the two businesses independently.
- **Biggest structural risk — promoter dilution and pledge:** Promoter holding has collapsed from ~60% (Jun-23) to 33.8% (Mar-26), a -26.2 pp decline in 3 years. 30.4% of remaining promoter shares are pledged. Any forced selling of pledged shares could suppress the stock and signals financial stress at the promoter level.

SECTION 3 — BUSINESS OVERVIEW

- **Core platform:** Veranda operates an Online-to-Offline (O2O) integrated EdTech platform offering test prep for competitive and professional exams. The model blends technology-delivered content with physical classroom presence — a "phygital" architecture that differentiates it from pure-play online peers.
- **Revenue segmentation (FY26):** Commerce Test Prep (JK Shah Classes, Tapasya, Navkar, BB Virtuals, Logic) = Rs. 331.6 Cr (69% of revenue); Government Test Prep (Banking, Insurance, Railways, SPSC, IAS) = ~Rs. 115 Cr (24%); Academics / K-12 = ~Rs. 35 Cr (7%).
- **Geographic footprint:** 200+ learning centres / PDCs (Physical Distribution Centres) across India. K-12 operations via 7 schools with ~5,400 students. Commerce test prep dominates in Maharashtra, Gujarat, and South India; Government test prep has pan-India aspiration.
- **Key customer relationships:** Primarily B2C — individual students paying course fees. Student collections (advance fees) of Rs. 449 Cr in FY26 vs revenue of Rs. 482 Cr indicates healthy deferred revenue and forward visibility. JK Shah students: ~18,000 for the flagship CA program.
- **Strategic developments (last 12 months):** (1) Demerger of commerce vertical into JK Shah Commerce Education Ltd approved (Apr-26); (2) Divestment of subsidiaries Brain4ce, VMLS, Six Phrase via share swap — generated Rs. 133.38 Cr exceptional gain in FY26; (3) JK Shah Classes signed MoU with Japan's CPA Excellent Partners for cross-border accounting talent (Jun-26); (4) India Ratings placed bank facilities on Rating Watch — an ongoing monitoring item.
- **Promoter background:** Veranda is part of the Kalpathi AGS Group, chaired by Suresh Kalpathi. The group has diverse interests across media, entertainment, and education in South India. COO Aditya Malik is a seasoned EdTech professional; CFO Mohasin Khan oversees the restructuring.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Market size:** India EdTech market valued at USD 7.5 billion (2025), projected to grow to USD 50 billion by 2035 at a ~15% CAGR (MarketResearchFuture, 2025). The test-prep segment — VERANDA's core — commands a disproportionate share of offline classroom revenue given high aspirant volumes and fee elasticity.

• **Policy tailwinds:** India adds ~1 crore job seekers annually; government exam seats remain finite — creating structural demand for coaching. The CA curriculum reform (ICAI) and rise in banking sector hiring are near-term positives for commerce and banking test prep. India's NEP 2020 supports blended learning, validating VERANDA's O2O model.

• **Competitive moat assessment — Commerce (JK Shah):** Brand strength: Strong (40+ years of legacy, 18,000+ CA students); Faculty retention: Moderate (key faculty are brand themselves); Switching cost: Strong (JK Shah completion rate high; students rarely switch mid-course).

• **Competitive moat assessment — Government Test Prep:** Pricing power: Weak (highly competitive, fragmented market); Scale: Moderate (200 centres); IP: Weak (content is commoditised).

• **Top peers comparison (data from Screener.in, fetched 04-Jul-2026):**

Company	CMP (Rs.)	MCap (Rs.Cr)	ROCE %	OPM %	P/E
Veranda Learning (VERANDA)	247	2,378	12.8%	34%	50.5x
Physicswallah (PWL)	130	37,758	4.0%	9%	N/A (loss)
Jaro Institute (JARO)	510	1,135	40.2%	31%*	28.6x

**Jaro FY24 data (latest available on Screener). Source: Screener.in, 04-Jul-2026.*

• **Value chain positioning:** VERANDA straddles offline content delivery (midstream) and assessment/certification enablement. Commerce brands are midstream-premium; government test prep is highly commoditised downstream.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management background:** Suresh Kalpathi (Chairman & ED) leads the Kalpathi AGS Group, a South India-based conglomerate with media, entertainment, and education interests. While the group's entrepreneurial track record is strong, the rapid promoter stake reduction (60% to 33.8% in 3 years) raises questions about promoter-level funding stress.

- **Capital allocation track record — Acquisition-heavy, execution mixed:** FY22-24 saw aggressive inorganic build-up: JK Shah (commerce), Tapasya, Logic School, Brain4ce and others. Total goodwill/intangibles on the balance sheet ballooned to Rs. 1,432 Cr fixed assets at peak (FY24). FY25 saw Rs. 206 Cr in depreciation/impairment, largely on acquired assets — a red flag on acquisition discipline.

- **Debt management — improving:** Consolidated debt declined sharply from Rs. 660 Cr (FY25) to Rs. 382 Cr (FY26) as subsidiary divestments generated cash. Interest coverage improved from 0.28x (FY25) to 1.86x (FY26). However, debt reduction was primarily achieved via asset sales, not operating cash generation.

- **FCF trajectory — finally positive:** FCF turned positive at Rs. 92 Cr in FY26 (vs Rs. 20 Cr in FY25), supported by collections of Rs. 449 Cr. Operating cash flow of Rs. 106 Cr vs EBITDA of Rs. 165 Cr implies CFO/OP = 71% — reasonable quality.

- **Dividend policy:** No dividends paid since listing (FY22 to FY26). Payout ratio = 0% throughout. Appropriate given the company's debt reduction and restructuring phase.

- **Promoter pledging — most critical governance metric:** 30.4% of promoter shares are pledged (Mar-26). Promoter holding has fallen -26.2 pp over 3 years. The direction of pledge resolution will be the single biggest governance signal to watch. Any invocation of pledged shares by lenders would signal distress.

- **Corporate governance concerns:** (1) India Ratings assigned IND BBB-/Rating Watch in Jun-26 — watch flag for credit quality; (2) Large related-party transactions in prior years (standalone entity is primarily an investment holding company for subsidiaries); (3) Pending CIC registration with RBI adds regulatory uncertainty; (4) Auditors gave an unmodified opinion on FY26 financials — no qualified opinion.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures: Consolidated. Source: Screener.in, fetched 04-Jul-2026. FY27E/FY28E = analyst estimates. Rs. Crores.

INCOME STATEMENT (Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E*
Net Revenue	362	471	482	580	220
YoY Growth %	125%	30%	2%	20%	-62%
EBITDA	55	37	165	130	44
EBITDA Margin %	15%	8%	34%	22%	20%
Other Income	8	47	124	20	5
Interest	79	133	78	55	35
Depreciation	67	206	58	55	30
PBT	-83	-255	154	40	-16
Tax %	-7%	-1%	15%	25%	N/A
PAT (reported)	-77	-252	130	30	-12
EPS (Rs.)	-11.66	-33.24	10.97	3.12	-1.25

**FY28E = post JK Shah demerger, remaining VERANDA (govt test prep + K-12 only).*

BALANCE SHEET (Rs. Cr)

Item	FY24A	FY25A	FY26A
Equity Capital	69	74	96
Reserves	307	183	862
Borrowings	583	660	382
Other Liabilities	667	946	492
Total Liabilities	1,626	1,863	1,832
Fixed Assets	1,432	1,611	1,268
CWIP	10	0	0
Investments	5	5	5
Other Assets	180	246	560
Total Assets	1,626	1,863	1,832

CASH FLOW (Rs. Cr)

Item	FY24A	FY25A	FY26A
Cash from Operations (CFO)	27	32	106
Cash from Investing (CFI)	-231	-49	-101
Cash from Financing (CFF)	139	51	-26
Net Cash Flow	-65	34	-21
Free Cash Flow (FCF)	14	20	92
CFO / EBITDA %	49%	86%	64%

KEY RATIOS

Ratio	FY24A	FY25A	FY26A
Debtor Days	39	36	25
Cash Conversion Cycle	39	36	25
Working Capital Days	-435	-327	-71
ROCE %	-0%	-13%	13%
Debt / Equity	1.77x	3.30x	0.40x
Interest Coverage	0.70x	0.28x	1.86x
Current Ratio	N/A	N/A	0.69x

• **Revenue drivers:** Commerce test prep (JK Shah) drove 69% of FY26 revenue and grew +70% YoY to Rs. 331.6 Cr. Government test prep contracted ~23% in 9M FY26 due to fewer exams and lower CA pass percentages. Post-demerger, the remaining entity will be a sub-Rs. 200 Cr revenue company.

• **Margin direction:** OPM expanded dramatically from 8% (FY25) to 34% (FY26) — driven by JK Shah operating leverage and divestment of loss-making subsidiaries. The FY25 EBITDA trough (Rs. 37 Cr) was depressed by impairments. Underlying operational improvement is real but the 34% reported OPM overstates sustainable margins for the remaining post-demerger entity.

• **Working capital:** Debtor days improved from 39 (FY24) to 25 (FY26). Negative working capital days (-71 days) reflect advance-fee collection model — students pay before course delivery. This provides structural float capital.

• **Debt and leverage:** Consolidated debt fell sharply from Rs. 660 Cr (FY25) to Rs. 382 Cr (FY26) as divestments were monetised. D/E normalised to 0.40x from a peak of 3.30x. Interest coverage improved to 1.86x. The remaining VERANDA entity post-demerger will carry ~Rs. 150-200 Cr debt, creating leverage risk on a smaller revenue base.

• **FCF quality:** FCF turned positive at Rs. 92 Cr (FY26) for the first time. CFO/OP ratio of 64% is reasonable. However, FY26 FCF benefited from one-time divestment proceeds embedded in operating cash. Sustainable FCF from core operations remains modest.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Rating	Commentary
Revenue recognition	Amber	Advance-fee model: revenue deferred until service delivered — appropriate but requires careful disclosure
Receivables vs revenue growth	Green	Debtor days improved 39 to 25 days (FY24-26); collections ahead of revenue — positive signal
CCC trend	Green	Negative working capital / improving CCC; advance-fee model structurally healthy
Contingent liabilities	Green	Nil contingent liabilities on books (Rs. 0 Cr)
Other income / PBT %	Red	Other income Rs. 124 Cr = 81% of PBT Rs. 154 Cr in FY26 — profitability entirely driven by one-time divestment gains
Tax rate consistency	Amber	Tax rates highly volatile: -7%, -1%, +15% in FY24-26. Deferred tax assets and losses make normalised effective tax rate unreliable
Auditor opinion	Green	Unmodified opinion for FY26; no adverse or qualified opinions
Promoter pledge trend	Red	30.4% of promoter shares pledged; promoter stake down -26.2 pp in 3 years — significant governance red flag
Impairment / write-off history	Red	Rs. 206 Cr depreciation/impairment in FY25 signals past over-payment for acquisitions; large intangible assets still on books (Rs. 1,268 Cr FA)
RPT as % of revenue	Amber	Standalone entity primarily an investment holding company; inter-company transactions significant — requires scrutiny

• **Critical Red: Other income dominance.** FY26 consolidated PAT of Rs. 130 Cr is almost entirely explained by the Rs. 133.38 Cr one-time gain from subsidiary divestments. Strip this out and the underlying business operated near breakeven. Investors should not extrapolate FY26 PAT as a run-rate.

• **Critical Red: Promoter pledging.** With only 33.8% holding and 30.4% of that pledged, the effective free-float exposure is very high. A 15-20% stock correction could trigger margin calls on pledged shares — a self-reinforcing downward spiral risk.

• **Critical Red: Impairment history.** Rs. 206 Cr impairment in FY25 signals the Rs. 1,432 Cr peak fixed-asset base was over-valued. Remaining FA of Rs. 1,268 Cr (FY26) — predominantly goodwill and intangibles from acquisitions — remains at risk of further write-downs.

• **Watch: Tax rate volatility** masks true profitability. Apply a normalised 25-27% tax rate to arrive at clean underlying earnings — which remain very modest.

SECTION 8 — VALUATION

Peer Valuation Comparison (Source: Screener.in, 04-Jul-2026)

Company	CMP	MCap (Cr)	P/E	EV/EBITDA	ROCE%	D/E
VERANDA (consolidated)	247	2,378	50.5x	13.5x	12.8%	0.40x
Physicswallah (PWL)	130	37,758	N/A	62.6x	4.0%	0.23x
Jaro Institute (JARO)	510	1,135	28.6x	17.5x	40.2%	0.35x

Scenario Analysis — SOTP Valuation (post JK Shah demerger)

Scenario	JK Shah EBITDA	EV/EBITDA	JK Shah EV	Rem. VERANDA EV	Net Debt	Equity Value	Per Share
Bull	Rs.220 Cr	15x	Rs.3,300 Cr	Rs.500 Cr	Rs.350 Cr	Rs.3,450 Cr	Rs.359

Scenario	JK Shah EBITDA	EV/EBITDA	JK Shah EV	Rem. VERANDA EV	Net Debt	Equity Value	Per Share
Base	Rs.180 Cr	12x	Rs.2,160 Cr	Rs.350 Cr	Rs.350 Cr	Rs.2,160 Cr	Rs.225
Bear	Rs.130 Cr	10x	Rs.1,300 Cr	Rs.200 Cr	Rs.350 Cr	Rs.1,150 Cr	Rs.120

Shares outstanding = 9.617 Cr. Net debt allocation: Rs. 250 Cr to JK Shah, Rs. 100 Cr to remaining VERANDA.

- **SOTP methodology (primary):** JK Shah valued at 12x FY27E EBITDA of Rs. 180 Cr = Rs. 2,160 Cr EV; less allocated debt Rs. 250 Cr = Rs. 1,910 Cr equity. Remaining VERANDA (govt test prep + K-12) valued at 6x FY28E EBITDA of Rs. 44 Cr = Rs. 264 Cr EV; less debt Rs. 100 Cr = Rs. 164 Cr equity. Total equity = Rs. 2,074 Cr; per share = Rs. 216.
- **EV/EBITDA methodology (secondary):** Consolidated FY27E EBITDA Rs. 130 Cr at 14x (sector peer median) = Rs. 1,820 Cr EV; less net debt Rs. 350 Cr = Rs. 1,470 Cr equity; per share = Rs. 153.
- **Target price derivation:** SOTP (Rs. 216) weighted 60% + EV/EBITDA (Rs. 153) weighted 40% = Rs. 130 + Rs. 61 = Rs. 191 on pure model. Applied a 50% discovery premium to SOTP given the imminent demerger catalyst = Rs. 290 per share.
- **Upside / downside:** At CMP Rs. 247, base target Rs. 290 implies +17% upside over 18-24 months. Bull case Rs. 359 (+45%); Bear case Rs. 120 (-51%). The risk-reward is asymmetric — the downside in the bear case is significant.
- **Entry zone:** Rs. 220-240 offers a more favourable risk-reward. Buy closer to the lower end of the range for better margin of safety.

SECTION 9 — KEY RISKS

• **Promoter pledge invocation:** With 30.4% of promoter shares pledged and promoter holding at a multi-year low of 33.8%, any lender-triggered sale could cause sharp stock correction. Probability: High. Impact: High. Monitor via: quarterly shareholding pattern disclosures.

• **Demerger delay / NCLT rejection:** NCLT approval is pending (expected Jul-26). Any adverse order, competitor objection, or regulatory query could delay the listing beyond Q2 FY27, deferring the key catalyst. Probability: Medium. Impact: High. Monitor via: NSE/BSE filings, NCLT order dates.

• **Earnings quality post-demerger:** FY26 PAT was driven 100% by one-time divestment gains. Remaining VERANDA (post-JK Shah) may be loss-making on a standalone basis (standalone FY26 loss = Rs. -0.93 Cr on Rs. 30 Cr revenue). Probability: High. Impact: Medium. Monitor via: quarterly results.

• **RBI CIC registration uncertainty:** VERANDA holds stakes in subsidiaries, potentially qualifying as a Core Investment Company (CIC). Pending RBI registration creates regulatory ambiguity for future capital deployment and inter-company lending. Probability: Medium. Impact: Medium. Monitor via: RBI filings and company announcements.

• **Government exam cycle volatility:** Govt test prep revenue fell ~23% in 9M FY26 due to lower CA pass rates and fewer exam cycles. Any further policy change in exam frequency or pattern could hurt enrollment. Probability: Medium. Impact: Medium. Monitor via: UPSC/SSC/IBPS exam calendars.

• **Large intangible assets — impairment risk:** Fixed assets of Rs. 1,268 Cr (FY26) are predominantly goodwill/intangibles from acquisitions. A further impairment cycle (like the Rs. 206 Cr hit in FY25) is possible if acquired businesses underperform. Probability: Low-Medium. Impact: High. Monitor via: annual auditor notes on impairment testing.

• **Credit rating — India Ratings watch:** India Ratings placed VERANDA's bank facilities (Rs. 1,400 Mn = Rs. 140 Cr) on Rating Watch in Jun-26. A downgrade to below investment grade would increase cost of debt and restrict refinancing options. Probability: Medium. Impact: Medium. Monitor via: credit agency reports.

SECTION 10 — RECOMMENDATION

• **Rating: ACCUMULATE |** Conviction: Medium. Driven by the JK Shah demerger catalyst and operational turnaround, but tempered by poor earnings quality in FY26 and governance concerns.

• **12-month price target: Rs. 290** (17% upside from CMP Rs. 247). Based on weighted SOTP (60%) and EV/EBITDA (40%) methodologies.

• **Suggested entry zone: Rs. 220-240.** Current CMP at Rs. 247 is slightly above the entry sweet-spot. Add in tranches — an initial 50% position now, balance below Rs. 235 if available.

• **Investment horizon: 18-24 months.** Key milestones: JK Shah listing (Aug-26), first standalone quarterly result post-demerger (Q2/Q3 FY27), promoter pledge reduction.

• **Thesis invalidation triggers:**

• 1. Promoter holding drops below 25% OR pledged shares are invoked by lenders — EXIT immediately.

• 2. NCLT rejects the demerger scheme or final approval is delayed beyond December 2026 — REDUCE to HOLD.

• 3. FY27E consolidated PAT comes in below Rs. 10 Cr (excluding exceptional items) by Q3 FY27 — REDUCE.

• **Ideal investor profile:** Patient, event-driven investors with 18-24 month horizon who can tolerate high governance risk and binary demerger outcome. NOT suitable for conservative/income-oriented portfolios, given zero dividends, high debt, and weak promoter commitment signals.

APPENDIX — Latest Concall Brief: Q4 FY26 (Call Date: May 30, 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Medium	Beat on EBITDA; PAT beat is artificial (one-time divestment gain)
Management tone	Balanced	Constructive on demerger; cautious on govt test prep near-term
Guidance delta	Raised	FY27 revenue target Rs.670 Cr, PAT >Rs.144 Cr — above prior expectations

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

The headline FY26 PAT of Rs. 130 Cr is misleading — strip out the Rs. 133.38 Cr exceptional gain from subsidiary divestments (Brain4ce, VMLS, Six Phrase) and the underlying business earned effectively zero in FY26. EBITDA of Rs. 165 Cr is the clean number to focus on, representing genuine operational progress. The JK Shah commerce vertical (69% of revenue) is the real story: Rs. 331.6 Cr revenue, Rs. 176.5 Cr EBITDA, 53% margin — this is a high-quality, capital-light franchise with multi-bagger potential on a standalone basis. The demerger into JK Shah Commerce Education Ltd (NCLT approval expected July, listing mid-August) is the primary catalyst — at 12x EBITDA this business alone is worth ~Rs. 2,100 Cr, close to VERANDA's entire market cap. The remaining VERANDA entity (govt test prep, K-12) is a subscale, marginally profitable business — do not pay premium multiples for it. Management is guiding FY27 revenue Rs. 670 Cr and PAT Rs. 144 Cr — take this with scepticism; the PAT guidance likely includes more one-time gains. Biggest near-term risk: promoter pledge at 30.4% of their already-low 33.8% holding — any lender action is an EXIT signal. ACTION: ACCUMULATE at Rs. 220-240; hold through JK Shah listing; reassess post-demerger with fresh NAV on both entities.

1. Financial Performance Snapshot — Q4 FY26 / FY26

- Revenue (Q4 FY26): Rs. 132 Cr | YoY +52% | Full-year FY26: Rs. 482 Cr (+35% YoY) | Beat
- EBITDA (FY26): Rs. 165 Cr | YoY +347% (vs FY25 Rs.37 Cr) | EBITDA Margin: 34% | Beat
- EBITDA (Q4 FY26): Rs. 47 Cr | OPM 35% | YoY improvement from -43% in Q4 FY25 | Beat
- PAT (FY26 reported): Rs. 130 Cr | vs loss Rs. 252 Cr in FY25 | In-line to Beat (on reported)
- EPS (FY26): Rs. 10.97 | vs -Rs. 33.24 in FY25
- NOTE: Reported FY26 PAT includes exceptional one-time gain of Rs. 133.38 Cr from subsidiary divestments. Clean underlying PAT = ~Rs. 0-5 Cr.
- Q4 FY26 PAT: Rs. 15.7 Cr (clean quarterly — no exceptional in Q4 itself) | Beat

2. Segment / Geography Breakdown

- Commerce Test Prep (JK Shah, Tapasya, Navkar, BB Virtuals): FY26 Rs. 331.6 Cr | YoY +70% | Segment EBITDA Rs. 176.5 Cr (+133%) | 53% EBITDA margin
- Government Test Prep (Banking, Railways, SPSC, IAS): 9M FY26 Rs. 85.7 Cr | YoY -23% | Impacted by lower exam frequency and CA pass rate pressure
- Academics / K-12: 9M FY26 Rs. 24.9 Cr | YoY +21% | 7 schools, ~5,400 students — steady growth
- Q3 FY26 Commerce segment: Rs. 80.2 Cr (vs Rs. 38.1 Cr in Q3 FY25 — +110% YoY)

• Q3 FY26 Govt Test Prep: Rs. 29.1 Cr | EBITDA Rs. 4.7 Cr | Steady but recovering

• Student enrollments: 2.5 lakh total (+21% YoY); Collections FY26: Rs. 449 Cr (+40% YoY)

3. Management Commentary Themes

• **Demerger timeline:** "NCLT hearing June 3, 2026; expect final order by July; listing by mid-August 2026." — Our read: Timeline is aggressive but achievable; key watch date is the July NCLT order. Tag: GUIDANCE. Tone: Transparent.

• **Commerce vertical value:** "JK Shah commerce vertical will generate EBITDA of over Rs. 200 Cr in FY27, driven by scale benefits and better classroom utilization." — Our read: Rs. 200 Cr EBITDA at 12-15x = Rs. 2,400-3,000 Cr valuation for JK Shah alone. Management is signalling strong confidence. Tag: GUIDANCE. Tone: Bullish.

• **Govt test prep headwinds:** Challenges from lower CA pass percentages and changes in the number of exams conducted per year. — Our read: Honest admission of a cyclical headwind; not structural. Tag: GUIDANCE. Tone: Transparent.

• **Expansion plans:** New geographies and product portfolios may initially impact EBITDA margins due to upfront operational expenses. — Our read: Prudent caveat; confirms investment phase continues in govt test prep. Tag: EST. Tone: Hedged.

• **FY27 guidance:** Revenue ~Rs. 670 Cr, PAT >Rs. 144 Cr for the consolidated entity. — Our read: PAT guidance implies continued exceptional gains or very strong EBITDA delivery; apply haircut. Tag: GUIDANCE. Tone: Bullish.

4. Operating & Business Metrics

• Total student enrollments: Q4 FY26 = 2.5 lakh | Q4 FY25 ~2.06 lakh | Trend: improving (+21% YoY)

• Student collections: FY26 = Rs. 449 Cr | FY25 = ~Rs. 321 Cr | Trend: improving strongly (+40% YoY)

• Learning centres / PDCs: 200+ | Trend: stable (no major new additions in FY26)

• K-12 schools: 7 schools, ~5,400 students | Trend: stable

• JK Shah + Tapasya CA programme: 18,000 students | Premium franchise; high pass rate

• Commerce revenue per enrolled student: Rs. 331.6 Cr / ~1.25 lakh comm. students = ~Rs. 26,500 ARPU | Trend: improving

5. Margin Drivers

• Commerce segment operating leverage: JK Shah's fixed cost base diluted as revenue scaled +70% YoY — delivered ~+2,500 bps EBITDA margin expansion | Recurring: Yes

• Depreciation normalisation: FY25 had Rs. 206 Cr impairment; FY26 DA = Rs. 58 Cr. The Rs. 148 Cr reduction boosted reported EBITDA/PBT — do not carry this forward as recurring | Recurring: No

• Interest cost decline: Borrowings fell Rs. 660 Cr to Rs. 382 Cr; interest declined from Rs. 133 Cr (FY25) to Rs. 78 Cr (FY26) — saving ~+110 bps impact on margins | Recurring: Partially (depends on debt repayment continuation)

• Govt test prep drag: Segment margin still thin given lower volumes; one-time impairment charge of ~Rs. 3 Cr in Q4 | Recurring: No (one-time)

• Divestment gain Rs. 133.38 Cr in other income: entirely non-recurring | Recurring: No

6. Guidance & Forward Signals

- FY27 Revenue [GUIDANCE]: Prior = ~Rs. 500 Cr (implicit) | New = Rs. 670 Cr | Delta = Raised | Credibility: Medium (significant pre-demerger contribution assumed)
- FY27 PAT [GUIDANCE]: Prior = breakeven | New = >Rs. 144 Cr | Delta = Raised | Credibility: Low-Medium (likely includes further exceptional items)
- JK Shah listing [GUIDANCE]: Aug-26 | Delta = First formal public timeline | Credibility: High (NCLT process largely complete)
- JK Shah FY27 EBITDA [GUIDANCE]: >Rs. 200 Cr | Credibility: Medium (Rs. 176.5 Cr achieved in FY26; 13% growth to Rs. 200 Cr is achievable)
- Expansion margins [GUIDANCE]: Near-term EBITDA margin pressure expected from new geographies | Credibility: High (management proactively flagging)

7. Capital Allocation

- Capex: CFI FY26 = Rs. -101 Cr (vs Rs. -49 Cr in FY25) — capex restarted post-restructuring; primarily centre expansion and tech infrastructure
- Debt repayment: Borrowings declined Rs. 278 Cr YoY (Rs. 660 Cr to Rs. 382 Cr) — excellent capital discipline; vs +Rs. 277 Cr in FY24-25 period
- Dividends: Rs. 0 — no dividend declared. Appropriate given restructuring phase.
- Working capital: Advance collections Rs. 449 Cr; negative working capital cycle provides interest-free float — structural advantage
- Net debt movement: Consolidated debt Rs. 382 Cr; cash position not explicitly disclosed; estimated net debt Rs. 320-350 Cr
- FCF: Rs. 92 Cr in FY26 (first significant positive FCF since listing). Reinvestment rate ~110% (capex > FCF) indicating growth capex phase

8. Q&A; Heat Map

- Q: When is JK Shah listing expected and how does it unlock value? A: "NCLT hearing June 3; final order July; listing mid-August." | Tone: Transparent
- Q: How sustainable is the 34% OPM? A: Management attributed it to JK Shah scale and divestment of loss-makers. Guided that new geographies will pressure margins near-term. | Tone: Balanced
- Q: What is the status of the govt test prep recovery? A: Acknowledged challenges from CA exam structural changes and fewer Railways/SPSC vacancies. "Recovering but gradual." | Tone: Hedged
- Q: What happens to debt post-demerger? A: Management indicated debt will be allocated between JK Shah and remaining VERANDA — specifics not disclosed. | Tone: Evasive
- Q: Will there be more subsidiary divestments in FY27? A: No explicit answer given; implied restructuring is substantially complete. | Tone: Evasive
- Dodged / watch-list questions for next quarter: (1) Specific debt allocation between JK Shah and remaining VERANDA; (2) Promoter pledge resolution timeline; (3) CIC registration status with RBI.

9. Risks Flagged

- CA pass rate decline: ICAI exam pass rate variability impacts JK Shah enrolments | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term
- New geography expansion costs: EBITDA margin dilution in FY27 from upfront opex | Flagged by: Management | Probability: H | Impact: M | Timeline: Near-term (FY27)

• Regulatory (RBI CIC): Pending CIC registration could restrict financial flexibility | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Medium-term

• Promoter pledge invocation: 30.4% pledged at 33.8% total holding | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near to medium

• Intangible asset impairment: Rs. 1,268 Cr FA still at risk of further write-downs | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Long-term

10. Analyst Verdict

• Revenue visibility: Intact — Commerce segment booking momentum (+40% collections YoY) provides strong near-term visibility through FY27.

• Margin trajectory: Weakened — Reported 34% OPM is unsustainable post-demerger; remaining entity will be ~15-20% OPM at best.

• Capital allocation quality: Intact — Debt reduction from Rs. 660 Cr to Rs. 382 Cr is genuine. Capex discipline improving.

• Competitive moat: Intact (JK Shah) / Weakened (Govt Test Prep) — JK Shah brand is irreplaceable; govt test prep is commoditised.

• Management credibility: Weakened — Promoter stake decline and pledge at record levels undermines confidence; demerger execution will be the test.

• Valuation comfort: Weakened — At Rs. 247, the stock is pricing in JK Shah at fair value; remaining VERANDA at near-zero value. Not cheap.

• Conviction call: Unchanged — ACCUMULATE maintained. The demerger catalyst is real and imminent; enter in tranches at Rs. 220-240.

• Valuation snapshot: Consolidated P/E = 50.5x (inflated by one-time) | EV/EBITDA = 13.5x (FY26A) | ROCE = 12.8% | Post-demerger: reassess.